

DEBT FACTORING PROCESS

To get money immediately, a company sells unpaid invoices (accounts receivable) to a third party, known as a "factor." The factor advances the company a major portion of the amount, retains the rest until the account is paid, then charges a fee.



Company negotiates an agreement in which its unpaid receivables (invoices) are sold at a discount to a "factor."



Company sends invoices out to customers, and copies these to the factor. Customer now owes payment to factor.



Factor pays company an agreed percentage of the invoices (typically 80–90 percent) within a few days of receipt.

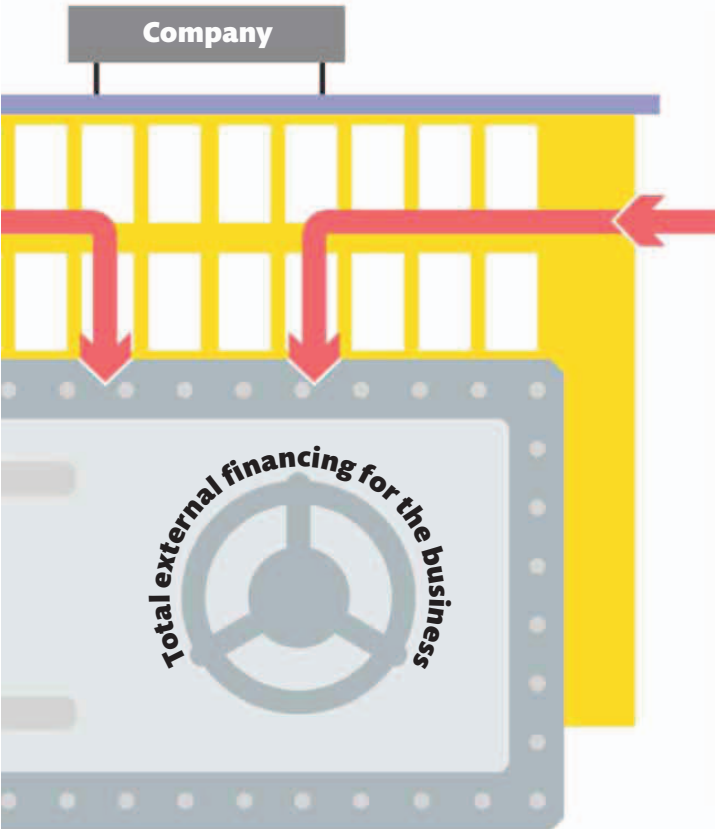


Customer pays factor the invoice amount after 30 days (or more if terms of payment are longer).



Factor pays remaining invoice amount to company, minus a fee (usually 2–5 percent of the invoice amount).

Company



Long-term financing

Putting effective measures in place to provide ongoing revenue is essential for a company's long-term growth.



Shares

Raise capital by issuing shares to finance growth. The company then retains less profit, as it pays dividends to shareholders, who also benefit from any capital gains in the company's value (*see pp.164–165*).



Borrowing

Secure long-term loans from banks and other financial institutions, usually on better terms than a bank line of credit.



Finance leases

Sell expensive assets such as computers to finance companies to release capital, and then lease them back.



Rent-to-own agreements

Pay for expensive assets, such as vehicles, in installments. Overall cost may be higher, but capital is not tied up.